The Board of Directors are pleased to announce the Audited results of the Group and the Bank for the Period ended 31 December 2020

		GROUP		KINGDOM BANK		CO-OP BANK	
I	STATEMENT OF FINANCIAL POSITION	31-Dec-20 KSHS.'000	31-Dec-19 KSHS.'000	31-Dec-20 KSHS.'000	31-Dec-19 KSHS.'000	31-Dec-20 KSHS.'000	31-Dec-19 KSHS.'000
		Audited	Audited	Audited	Audited	Audited	Audited
A	ASSETS						
1	Cash (local and foreign)	8,607,090	8,959,634	206,834	79,631	7,891,150	8,258,224
2	Balances due from Central Bank Of Kenya	17,741,046	20,069,039	338,836	20,093	12,904,226	17,135,079
3	Kenya Government and other securities held for dealing purposes						
4	Financial Assets at Fair Value through profit and loss(FVTPL)	-	-		-	-	-
5.a.a	Investment Securities: Held at Amortised Cost- Kenya Government Securities	98,167,673	76,871,525	294,866	304,907	76,782,715	76,719,661
a.b	Investment Securities: Held at Amortised Cost- Other Securities	-	-		-	-	-
b.a	Investment Securities: Fair Value through other comprehensive income(-FVOCI)Kenya Government	63,718,146	40,931,155	21,597,044	202,104	63,173,412	40,931,155
b.b	Investment Securities: Fair Value through other comprehensive income(FVOCI)-Other Securities	1,132,214	1,385,285		-	1,041,966	1,277,395
6	Deposits and balances due from local banking institutions	1,962,835	2,587,663	100,161	163,127	1,471,443	346,404
7	Deposits and balances due from banking institutions abroad	14,952,428	7,122,084	42,435	2,228	14,909,993	7,679,913
8	Tax recoverable	666,502	16,739	109	109	697,799	-
9	Loans and advances to customers (net)	286,634,192	266,712,696	5,138,260	5,709,562	280,522,176	265,332,776
10	Balances due from banking institutions in the group	-	-		-	-	-
11	Investments in associates	1,967,532	2,098,354	16,087	16,662	706,444	706,444
12	Investments in subsidiary companies	-	-	1,139	1,139	3,512,920	2,512,920
13	Investment in joint ventures	-	-		-	-	-
14	Investment in properties	-	-	-	788,000	-	-
15	Property, plant and equipment	12,301,610	11,421,236	1,045,869	307,665	9,502,863	10,519,106
16	Prepaid lease rentals	33,912	34,522		-	33,912	34,522
17	Intangible assets	6,119,101	2,708,018	40,859	286,743	2,699,811	2,242,641
18	Deferred tax asset	4,178,692	3,214,888	297,764	374,523	3,966,886	3,275,430
19	Retirement benefit asset	-	-		-	-	-
20	Other assets	18,762,277	12,876,106	1,491,697	913,300	17,005,232	12,644,802
21	TOTAL ASSETS	536,945,250	457,008,946	30,611,960	9,169,794	496,822,948	449,616,472
B	LIABILITIES						
22	Balances due to Central Bank Of Kenya	-	-	2,156,981	2,002,307	-	-
23	Customer deposits	378,630,453	332,823,917	5,081,289	4,794,723	369,429,653	329,378,392
24	Deposits and balances due to local banking institutions	221,890	176,975			654,958	734,804
25	Deposits and balances due to banking institutions abroad	-	-			-	-
26	Other money market deposits	-	-		-	-	-
27	Borrowed funds	46,026,141	26,424,266	21,606,486	1,187,882	22,262,674	26,424,266
28	Balances due to banking institutions in the group	-	-			-	-
29	Tax payable	-	41,092	-	-		29,805
30	Dividends payable	-	-		-	-	-
31	Deferred tax liability	-	-		-	-	-
32	Retirement benefit liability	-	-		-	-	-
33	Other liabilities	20,018,494	16,685,807	467,397	782,717	18,878,284	15,961,221
34	TOTAL LIABILITIES	444,896,977	376,152,056	29,312,153	8,767,629	411,225,569	372,528,487
C	SHAREHOLDERS' FUNDS						
35	Paid up/Assigned capital	5,867,180	5,867,180	1,867,947	1,643,793	5,867,180	5,867,180
36	Share premium/(discount)	1,911,925	1,911,925	3,087,449	2,311,603	1,911,925	1,911,925
37	Revaluation reserve	1,511,925	1,388,931	-	-	1,316,635	1,351,679
38	Retained earnings/ Accumulated losses	74,582,478	62,402,380	(3,770,486)	(3,569,582)	69,602,038	60,096,268
39	Statutory Loan Loss Reserve	14,011	1,639,892	-	-	-	1,603,621
40	Other Reserves	546,230	(185,720)	114,897	16,351	607,481	(53,282)
41	Proposed dividends	5,867,180	5,867,180	-	-	5,867,180	5,867,180
42	Capital grants	424,939	443,414		-	424,939	443,414
43	TOTAL SHAREHOLDERS' FUNDS	90,725,868	79,335,183	1,299,807	402,165	85,597,379	77,087,985
43.1	Non-Controlling Interest	1,322,406	1,521,708			-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	536,945,250	457,008,946	30,611,960	9,169,794	496,822,948	449,616,472

II	STATEMENT OF COMPREHENSIVE INCOME	31-Dec-20 KSHS.'000	31-Dec-19 KSHS.'000	31-Dec-20 KSHS.'000	31-Dec-19 KSHS.'000	31-Dec-20 KSHS.'000	31-Dec-19 KSHS.'000
		Audited	Audited	Audited	Audited	Audited	Audited
1.0	INTEREST INCOME						
1.1	Loans and advances	33,500,169	31,778,944	514,314	620,487	32,709,725	31,512,218
1.2	Government securities	14,822,264	11,354,128	1,226,557	27,428	13,573,893	11,331,331
1.3	Deposits and placements with banking Institutions	518,211	506,406	39,905	22,848	329,780	414,183
1.4	Other Interest Income	-	-		-	-	-
1.5	Total Interest Income	48,840,645	43,639,479	1,780,777	670,762	46,613,399	43,257,731
2.0	INTEREST EXPENSE						
2.1	Customer deposits	10,937,757	10,661,045	173,350	401,983	10,764,407	10,621,407
2.2	Deposits and placements from banking institutions	196,208	110,551	24,498	52,469	171,710	110,551
2.3	Other Interest Expenses	1,357,714	1,564,552	56,507	202,039	1,278,185	1,564,552
2.4	Total Interest Expenses	12,491,679	12,336,147	254,354	656,490	12,214,303	12,296,510
3	NET INTEREST INCOME/(LOSS)	36,348,966	31,303,331	1,526,423	14,272	34,399,096	30,961,222
4	NON-INTEREST INCOME						
4.1	Fees and commissions on loans and advances	5,126,502	3,228,648	16,201	25,685	4,387,032	3,177,370
4.2	Other Fees and commissions	7,774,525	9,588,986	109,796	139,047	6,589,361	8,139,026
4.3	Foreign exchange trading income/(loss)	2,837,870	2,148,844	(26,649)	811	2,305,791	1,933,761
4.4	Dividend income	1,444	86,755		-	1,701,444	86,755
4.5	Other income	1,740,382	2,103,429	(12,504)	(36,110)	1,417,264	2,029,739
4.6	Total Non-interest income	17,480,723	17,156,662	86,844	129,433	16,400,891	15,366,652
5.0	TOTAL OPERATING INCOME	53,829,689	48,459,993	1,613,267	143,705	50,799,988	46,327,874
6.0	OTHER OPERATING EXPENSES						
6.1	Loan loss provision	8,111,824	2,539,071	301,881	160,641	7,516,667	2,459,898
6.2	Staff costs	13,421,772	12,374,217	287,726	313,439	12,455,467	11,847,149
6.3	Directors' emoluments	245,715	201,701	34,836	86,272	152,901	150,487
6.4	Rentals charges	1,023,975	721,910	31,447	76,042	944,476	707,561
6.5	Depreciation charge on property and equipment	3,004,831	2,645,291	57,274	51,763	2,520,023	2,482,465
6.6	Armortisation charges	968,196	595,085	245,885	264,570	700,828	568,654
6.7	Other operating expenses	12,621,578	8,717,000	778,365	431,230	9,548,996	7,785,594
6.8	Total other operating expenses	39,397,890	27,794,275	1,737,412	1,383,957	33,839,358	26,001,809
7	Profit/(Loss) before tax and exceptional items	14,431,799	20,665,718	(124,145)	(1,240,252)	16,960,630	20,326,064
8	Exceptional items-Early Retirement Costs	-	-			-	-
8	Exceptional items-Share of profit of associate	(149,939)	40,035		-	-	-
9	Profit/(Loss) before tax	14,281,861	20,705,753	(124,145)	(1,240,252)	16,960,630	20,326,064
10	Current tax	4,111,011	6,547,494	-	-	3,917,800	6,282,523
11	Deferred tax	(642,026)	(152,988)	76,759	(177,016)	(676,438)	(211,887)
12	Profit/(loss) after tax and exceptional items	10,812,876	14,311,247	(200,904)	(1,063,236)	13,719,267	14,255,428
13.0	OTHER COMPREHENSIVE INCOME:						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	7,823	-		-	-	-
13.2	Fair value changes in available-for-sale financial assets	725,579	225,020	98,546	17,703	660,763	245,660
13.3	Revaluation Surplus on property, Plant and Equipment		153,536				153,536
13.4	Share of other comprehensive income of associates	10,663	39,886		-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-		-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	744,066	418,442	(102,358)	(1,045,533)	660,763	399,196
15	TOTAL COMPREHENSIVE INCOME	11,556,941	14,729,689	(102,358)	(1,045,533)	14,380,030	14,654,623
	Basic Earnings per share	1.98	2.48			2.34	2.43
	Diluted Earnings per share	1.98	2.48			2.34	2.43
	Dividend per share	1.00	1.00			1.00	1.00

III	**OTHER DISCLOSURES**						
		31-Dec-20	**31-Dec-19**	**31-Dec-20**	**31-Dec-19**	**31-Dec-20**	**31-Dec-19**
		KSHS.'000	**KSHS.'000**	**KSHS.'000**	**KSHS.'000**	**KSHS.'000**	**KSHS.'000**
		Audited	**Audited**	**Audited**	**Audited**	**Audited**	**Audited**
1	**NON PERFORMING LOANS AND ADVANCES**						
a)	**Gross non-performing loans and advances**	**59,134,016**	**31,618,456**	**6,786,736**	**6,082,597**	**51,781,184**	**31,155,503**
	Less						
b)	Interest in suspense	**7,244,637**	**5,103,895**	**1,705,949**	**1,502,278**	**5,492,046**	**5,033,184**
c)	**Total Non-performing loans and advances (a-b)**	**51,889,378**	**26,514,561**	**5,080,787**	**4,580,319**	**46,289,138**	**26,122,319**
	Less						
d)	Loan loss provisions	**22,474,155**	**11,262,003**	**3,428,444**	**3,351,886**	**18,787,981**	**11,150,017**
e)	Net Non performing loans (c-d)	**29,415,223**	**15,252,558**	**1,652,343**	**1,228,433**	**27,501,157**	**14,972,302**
f)	Discounted Value of Securities	**23,568,736**	**15,252,558**	**3,064,857**	**1,128,562**	**20,503,879**	**14,972,302**
g)	**Net NPLs Exposure (e-f)**	**5,846,487**	**-**	**(1,412,514)**	**99,871**	**6,997,278**	**-**
2	**Insider loans and advances**						
a)	Directors, shareholders and associates	**5,784,045**	**6,454,598**	**-**	**100,000**	**5,784,045**	**6,454,598**
b)	Employees	**11,003,462**	**9,117,557**	**105,025**	**159,192**	**10,898,437**	**9,117,557**
c)	**Total insider loans, advances and other facilities**	**16,787,507**	**15,572,155**	**105,025**	**259,192**	**16,682,482**	**15,572,155**
3	**Off-Balance Sheet Items**						
a)	Letters of credit,guarantees, acceptances	**37,901,657**	**25,276,943**	**931,961**	**700,730**	**36,969,696**	**25,276,943**
b)	Forwards, swaps and options	**9,086,267**	**6,812,807**		**-**	**9,086,267**	**6,812,807**
c)	Other contingent liabilities	**-**	**-**		**-**	**-**	**-**
d)	**Total contingent liabilities**	**46,987,924**	**32,089,750**	**931,961**	**700,730**	**46,055,963**	**32,089,750**
	Capital strength						
a)	Core capital	**72,431,970**	**67,310,007**	**1,026,245**	**(170,791)**	**70,566,276**	**62,770,438**
b)	Minimum Statutory Capital	**1,000,000**	**1,000,000**	**1,000,000**	**1,000,000**	**1,000,000**	**1,000,000**
c)	Excess/(deficiency)	**71,431,970**	**66,310,007**	**26,245**	**(1,170,791)**	**69,566,276**	**61,770,438**
d)	Supplementary capital	**6,927,485**	**1,987,124**	**-**	**-**	**6,879,467**	**1,941,541**
e)	Total capital	**79,359,455**	**69,297,131**	**1,026,245**	**(170,791)**	**77,445,743**	**64,711,979**
f)	Total risk weighted assets	**470,055,138**	**413,660,437**	**7,426,957**	**8,984,292**	**455,847,214**	**410,346,536**
g)	Core capital/total deposit liabilities	**19.1%**	**20.2%**	**20.2%**	**-3.6%**	**19.1%**	**19.0%**
h)	Minimum Statutory Ratio	**8.0%**	**8.0%**	**8.0%**	**8.0%**	**8.0%**	**8.0%**
i)	Excess/(deficiency)	**11.1%**	**12.2%**	**12.2%**	**-11.6%**	**11.1%**	**11.0%**
j)	Core capital/total risk weighted assets	**15.4%**	**16.3%**	**13.8%**	**-1.9%**	**15.5%**	**15.3%**
k)	Minimum Statutory Ratio	**10.5%**	**10.5%**	**10.5%**	**10.5%**	**10.5%**	**10.5%**
l)	Excess/(deficiency)(j-k)	**4.9%**	**5.8%**	**3.3%**	**-12.4%**	**5.0%**	**4.8%**
m)	Total capital/total risk weighted assets	**16.9%**	**16.8%**	**13.8%**	**-1.9%**	**17.0%**	**15.8%**
n)	Minimum Statutory Ratio	**14.5%**	**14.5%**	**14.5%**	**14.5%**	**14.5%**	**14.5%**
o)	Excess/(deficiency)(m-n)	**2.4%**	**2.3%**	**-0.7%**	**-16.4%**	**2.5%**	**1.3%**
p)	Adjusted Core Capital/Total Deposit Liabilities	**17.3%**	**20.2%**			**17.2%**	**19.0%**
q)	Adjusted Core Capital/Total Risk Weighted Assets	**13.9%**	**16.3%**			**13.9%**	**15.3%**
r)	Adjusted Total Capital/Total Risk Weighted Assets	**15.4%**	**16.8%**			**15.4%**	**15.8%**
5	**Liquidity**						
a)	Liquidity Ratio	**52.2%**	**46.2%**	**362.2%**	**-25.4%**	**45.8%**	**44.8%**
b)	Minimum Statutory Ratio	**20.0%**	**20.0%**	**20.0%**	**20.0%**	**20.0%**	**20.0%**
c)	Excess/ (deficiency)(a-b)	**32.2%**	**26.2%**	**342.2%**	**-45.4%**	**25.8%**	**24.8%**

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

DIVIDENDS:

The Directors as per Capital Markets Authority guidance vide circular dated 16th April,2020 on Board of Directors Mandate under COVID 19 environment have recommended/approved the payment of Kshs.1.00 per ordinary share(2019-Kshs.1.00) to be paid on or about 14th April 2021 to the shareholders registered on the Bank register at the close of business 31st March 2021.The register will remain closed for one day on 13th April 2021 for the preparation of dividend warrants.

ANNUAL GENERAL MEETING:

A 'virtual' General Meeting will be held in the year as per the separate notice to be issued.

MESSAGE FROM THE DIRECTORS:

The above Consolidated Statement of Comprehensive Income and Statement of Financial Position are extracts from the Bank's Financial Statements which have been audited by Ernst & Young LLP and have received an unqualified opinion. A full set of these Financial Statements will be available at our registered office at Co-operative House and online at www.co-opbank.co.ke for inspection after approval by members at the Annual General Meeting.

The financial statements were approved by the Directors on 17th March 2021 and signed on its behalf by:

Signed: John Murugu ,OGW
Chairman

Signed: Dr.Gideon Muriuki-CBS,MBS
Group Managing Director & CEO

CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CHANGES IN EQUITY

	Share Capital	Share Premium	Revaluation Reserve	Statutory Reserve	Fair value Reserve	Foreign currency translation reserve	Proposed Dividends	Retained Earnings	Attributable to equity holder of the company	Non-controlling interest	Total equity
As at 1 January 2019	**5,867,180**	**1,911,926**	**1,292,736**	**1,013,587**	**(438,162)**	**(88,610)**	**5,867,180**	**53,976,280**	**69,402,117**	**1,353,098**	**70,755,215**
Issue of additional shares		-	-	-	-	-	-	-	**-**	-	**-**
Profit for the year	-	-	-	-	-	-	-	14,528,812	**14,528,812**	(217,565)	**14,311,247**
Other comprehensive income	-	-	163,947	-	252,441	2,767	-	-	**419,156**	(714)	**418,442**
Deferred tax on revaluation surplus	-	-	(65,801)	-	-	-	-	-	**(65,801)**	-	**(65,801)**
Transfer to statutory reserve	-	-	-	620,991	-			(620,991)	**-**		
Exchange difference on hyperinflationary economy	-	-	83,892	5,314				385,459	**474,665**	386,889	**861,554**
2018- Dividends paid	-	-	-	-	-	-	(5,867,180)	-	**(5,867,180)**	-	**(5,867,180)**
Proposed dividends	-	-	-	-	-	-	5,867,180	(5,867,180)	**-**	-	**-**
As at 31 December 2019	**5,867,180**	**1,911,926**	**1,474,775**	**1,639,892**	**(185,720)**	**(85,842)**	**5,867,180**	**62,402,380**	**78,891,769**	**1,521,708**	**80,413,477**
As at 1 January 2020	**5,867,180**	**1,911,926**	**1,474,775**	**1,639,892**	**(185,720)**	**(85,842)**	**5,867,180**	**62,402,380**	**78,891,769**	**1,521,708**	**80,413,477**
Profit for the year	-	-	-	-	-	-	-	11,594,089	**11,594,089**	(781,214)	**10,812,875**
Other comprehensive income	-	-	4,652	-	731,950	7,823	-	-	**744,425**	(359)	**744,066**
Transfer of excess depreciation			(50,062)					50,062	**-**		**-**
Deferred tax on revaluation surplus	-	-	15,019	-	-	-	-	-	**15,019**	-	**15,019**
Transfer to statutory reserve	-	-	-	(1,611,238)	-			1,611,238	**-**		
Exchange difference on hyperinflationary economy			145,561	(14,643)				4,791,889	**4,922,807**	582,271	**5,505,078**
2019- Dividends paid	-	-	-	-	-	-	(5,867,180)	-	**(5,867,180)**	-	**(5,867,180)**
Proposed dividends	-	-	-	-	-	-	5,867,180	(5,867,180)	**-**	-	**-**
As at 31 December 2020	**5,867,180**	**1,911,926**	**1,589,944**	**14,011**	**546,230**	**(78,019)**	**5,867,180**	**74,582,478**	**90,300,930**	**1,322,406**	**91,623,336**

CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CASHFLOWS AS AT 31 DECEMBER 2020

		2020	2019
A	**CASH FLOWS FROM OPERATING ACTIVITIES:-**	KShs'000	KShs'000
	Cash generated from / (used in) operating activities	26,141,163	23,548,910
	Tax paid	(4,645,404)	(6,547,273)
	Net cash flows from /(used in) operating activities	**21,495,759**	**17,001,637**
B	**CASH FLOWS FROM INVESTING ACTIVITIES:-**		
	Net cash flows used in investing activities	**(3,065,161)**	**(27,671,824)**
C			
	CASH FLOWS FROM FINANCING ACTIVITIES:-		
	Proceeds from borrowings	7,016,096	7,600,238
	Repayment of borrowings	(13,109,324)	(5,066,175)
	Repayment of principal portion of lease liabilities	(1,284,429)	(1,261,634)
	Dividends paid	(5,867,180)	(5,867,180)
	Net cash flows from financing activities	**(13,244,837)**	**(4,594,751)**
	Net movement in cash and cash equivalents	5,185,761	(15,264,938)
	Cash and cash equivalents at the beginning of the year	16,847,750	32,112,688
	Cash and cash equivalents at 31 December 2020	**22,033,511**	**16,847,750**

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